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SUBJECT: Regulating Platform Power in Gaming: Advancing Fair Digital Ownership and Global Accountability
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Executive Summary

Digital platform-based ecosystems have fundamentally reshaped how consumers access entertainment, create content, and participate in digital markets. The gaming industry is no exception and illustrates this broad shift: once a model based on physical ownership over products, the gaming industry has increasingly become a system of platform-controlled access governed by licensing agreements and closed digital infrastructures. As a result, consumers face limited ownership rights, third-party developers continue to operate under restrictive platform rules, and content creators have to navigate aggressive intellectual property (IP) enforcement. This memo argues that these dynamics reflect a broader structural problem in platform-based ecosystems rather than isolated corporate behavior. To address these concerns, this memo proposes a multi-level governance strategy. At the federal level, agencies such as the Federal Trade Commission (FTC) and the Department of Justice (DOJ) should expand enforcement and rulemaking authority to strengthen consumer protections and promote fair competition in platform markets. At the state level, right-to-repair legislation should be implemented to increase the lifecycle of products and strengthen consumer autonomy. These reforms aim to rebalance power within the gaming industry and platform-based ecosystems as a whole to ensure that digital markets remain competitive, accountable, and aligned with public interest and consumer rights.

Introduction

The expansion of digital platforms has transformed how people access entertainment, communicate, and participate in culture. Over the decades, platforms have transformed from the physical marketplace to the digital realm. Beforehand, individuals would have to obtain a newspaper to read the news, attend events to catch up with friends, and go to a physical store to purchase goods and services. Today, however, an individual can complete all of the following tasks online. A clear example of this transformation would be the gaming industry. The gaming industry was once centered on providing specific products that consumers could purchase and own: a consumer could purchase and own a gaming console along with the hardware needed to run a game (e.g., a cartridge or a CD). However, contemporary gaming systems have shifted towards a platformed-based ecosystem model where access to games is conditional, controlled, and often temporary. For instance, whereas before you could purchase a CD to run a game, many

modern consoles are increasingly shifting towards digital-only distribution models, forcing the user to virtually download the game, which takes up the console's storage space.¹ If the user wants to digitally own multiple games, they would then need to upgrade their storage device or go through the burdensome process of uninstalling games to make room for others. Furthermore, many gaming platforms now use a subscription-based model that allows players to access a selection of games for a monthly fee.² While supporters argue this expands access to a wider range of titles, critics argue that it harms consumers by encouraging ongoing payments rather than true ownership of games. These shifts matter deeply because it alters the relationship between consumers and the products they purchase. Through multiple tools, such as restrictive licensing agreements, subscription-based services, and closed hardware systems, users are increasingly denied traditional ownership rights. At the same time, third-party developers and content creators must operate within tightly controlled and monitored systems that limit innovation and extract significant economic value from them. Beyond the digital sphere, these systems are also supported by global supply chains that rely heavily on resource extraction and labor practices with significant human and environmental costs. The stakes for this quandary extend far beyond gaming: as similar platform models proliferate across different industries (e.g., streaming services, social media, etc.), the issues observed within the gaming industry foreshadow broader changes to the digital economy. Without proper intervention, platform owners will continue to consolidate power, erode consumer rights, and externalize costs onto vulnerable populations. This memo argues that U.S. federal and state agencies, in coordination with international regulatory bodies, must implement targeted interventions in digital consumer rights, platform competition, and IP law to rebalance power, not just for the gaming industry, but for platform-based ecosystems as a whole.

Background

The contemporary gaming ecosystem is structured around vertically integrating platforms that combine hardware, software distribution, and digital services. Through gaming devices, such as Nintendo's Switch, the company controls not only the hardware but also the primary marketplace for software distribution, the rules governing user behavior, and the terms under which third-party developers can access its platform. To publish games on the Nintendo Store (Nintendo's digital platform), developers must comply with approval processes, content guidelines, and revenue sharing agreements that grant the platform (i.e., Nintendo) a significant percentage of

¹ Jacob Siegal, "5 Reasons To Buy Physical Video Games Over Digital," BGR, April 28, 2026, <https://www.bgr.com/2153734/reasons-buy-physical-video-games-over-digital/>.

² IGN, "The Best Gaming Subscription Services," last modified March 14, 2025, <https://www.ign.com/articles/best-gaming-subscription-services>

sales.³⁴ This model acts as a high ceiling to entry for indie developers or smaller game studios, which limits the number of products in the store. Content creators also face obstacles due to Nintendo's strict IP enforcement and platform-specific rules. For instance, for many years, individuals wanting to engage in content creation for Nintendo were required to register under a "Nintendo Content Creators Club," which would require strict regulation, an approval process, and revenue sharing.⁵ While the aforementioned process has since been removed, Nintendo continues to crack down on content creators that attempt to use Nintendo products for content creation for IP violations. An example of Nintendo's IP enforcement on YouTube is the case involving content creator Eric "PointCrow" Morino. PointCrow is a popular YouTube/Twitch streamer known for making Nintendo-related content, including challenge runs and modified gameplay experiences centered on the Nintendo Switch game 'The Legend of Zelda: Breath of the Wild.'⁶ In 2022, Nintendo issued multiple copyright violation strikes against PointCrow's YouTube channel, citing alleged console violations related to PointCrow modding his console for his challenge runs.⁷ These copyright strikes put PointCrow's channel at risk of being permanently banned, which would threaten his main source of income and years of creative labor for Nintendo products.⁸ It is important to note that the content in question did not involve pirating or redistributing Nintendo's games, nor did it substitute the experience of purchasing the original product (both of which would've directly impacted Nintendo's revenue streams). Instead, it solely relied on minor gameplay modifications that expanded the creative life of Nintendo's IP.⁹ Consumers, meanwhile, also face difficulties by being forced to interact with these systems for digital purchases, subscription services for online game play, and online functionalities that can be modified or revoked.¹⁰ Additionally, with the latest Nintendo gaming system, the Nintendo Switch 2, the End User License Agreements (EULA) also

³ Skelius Mortalis, "Videogame Distribution Platforms: Nintendo Switch," 1D3 Digitech, July 31, 2024, <https://www.1d3.com/blog/videogame-distribution-platform-nintendo-switch>.

⁴ Valentine, Rebekah. "Nintendo Rolls Out New eShop Publishing Guidelines for Switch 2 in Asia, Seemingly to Curb Spam Games." IGN. July 14, 2025. <https://www.ign.com/articles/nintendo-rolls-out-new-eshop-publishing-guidelines-for-switch-2-in-asia-seemingly-to-curb-spam-games>.

⁵ Shawn Knight, "Nintendo Launches Revenue-Sharing Affiliate Program for YouTube Users," TechSpot, January 29, 2015, <https://www.techspot.com/news/59574-nintendo-launches-revenue-sharing-affiliate-program-youtube-users.html>.

⁶ Wesley Fenlon, "Aggressive Nintendo Copyright Strikes on YouTube Push Breath of the Wild Multiplayer Modders into Taking Down Mod," PC Gamer, April 14, 2023, <https://www.pcgamer.com/aggressive-nintendo-copyright-claims-on-youtube-push-breath-of-the-wild-multiplayer-modders-into-taking-down-mod/>

⁷ Fenlon, "Aggressive Nintendo Copyright Strikes."

⁸ Fenlon, "Aggressive Nintendo Copyright Strikes."

⁹ Fenlon, "Aggressive Nintendo Copyright Strikes."

¹⁰ David Wolinsky, "You Think You Own Your Games? California Law Says Otherwise," GameSpot, September 26, 2024, <https://www.gamespot.com/articles/you-think-you-own-your-games-california-law-says-otherwise/1100-6526747/>

provide Nintendo the right, in certain cases, to disable access to services or the console if a user violates the EULA. The EULA in the U.S. specifically states:

Without limitation, you agree that you may not (a) publish, copy, modify, reverse engineer, lease, rent, decompile, disassemble, distribute, offer for sale, or create derivative works of any portion of the Nintendo Account Services; (b) bypass, modify, decrypt, defeat, tamper with, or otherwise circumvent any of the functions or protections of the Nintendo Account Services, including through the use of any hardware or software that would cause the Nintendo Account Services to operate other than in accordance with its documentation and intended use; (c) obtain, install or use any unauthorized copies of Nintendo Account Services; or (d) exploit the Nintendo Account Services in any manner other than to use them in accordance with the applicable documentation and intended use, in each case, without Nintendo's written consent or express authorization, or unless otherwise expressly permitted by applicable law. **You acknowledge that if you fail to comply with the foregoing restrictions Nintendo may render the Nintendo Account Services and/or the applicable Nintendo device permanently unusable in whole or in part.**^{11 12}

While some analysts would say that the U.S.A.'s EULA only applies to individuals that violate Nintendo's policy maliciously, there are instances where individuals may desire to alter the system, not out of malice, but to enhance their gaming experience (as mentioned in the PointCrow example above). Additionally, the aforementioned policy may limit users from obtaining repairs from third-party vendors, which are often cheaper than going through the original manufacturer.¹³ And finally, the lifecycle of gaming hardware contributes significantly to growing electronic waste.¹⁴ Rapid product cycles, limited repair options, and software incompatibility encourage frequent upgrades and disposal. Much of this waste is exported to developing regions where it is processed under hazardous conditions.¹⁵ Together, these factors demonstrate that gaming

¹¹ Rubén Martínez, "Nintendo Can Disable Your Switch 2 for Piracy in the U.S., but Not in Europe, as Confirmed by Its EULA," MeriStation (AS), June 10, 2025, <https://en.as.com/meristation/news/nintendo-can-disable-your-switch-2-for-piracy-in-the-us-but-not-in-europe-as-confirmed-by-its-eula-n-2/>

¹²**An important distinction is that this EULA applies only to American customers, whereas the European version limits restrictions only to cases involving pirated games, not permanently disabling the device.**

¹³ Consumer Reports, "Right-to-Repair Laws Could Make It Easier to Get a Phone or Laptop Fixed," Consumer Reports, accessed May 5, 2026, <https://www.consumerreports.org/consumer-protection/right-to-repair-laws-could-make-it-easier-to-get-a-phone-or-laptop-fixed/>

¹⁴ Asher, "Environmental Impact of Video Gaming Consoles."

¹⁵ Chris Owen, Bridget Scougall, and Sophie Sanders, "Environmental Injustice: How Informal e-Waste Recycling Impacts Human Rights," Global law firm | Norton Rose Fulbright, May 2025,

platforms are not isolated entertainment systems but complex infrastructures embedded in global networks of power, production, and control.

Current Approaches

The current approaches in addressing these challenges have largely proven insufficient. For instance, consumer protection frameworks have struggled to adapt to digital goods that are increasingly governed by licensing agreements that limit user control. EULAs allow companies to impose strict restrictions that would be unacceptable in physical markets, such as revoking access to purchased content or disabling devices altogether.¹⁶ Moreover, IP law further reinforces platform dominance. While IP was originally designed to protect creators, current IP regimes enable large corporations to exert extensive control over cultural production. Aggressive enforcement practices can suppress fan-made content, impact modding communities, and hinder independent innovation, even when such activities do not pose direct economic harm. Mechanisms like automated copyright enforcement systems amplify these imbalances by allowing corporations to act without meaningful oversight.¹⁷ Additionally, market competition has also failed to provide adequate checks on platform power. The gaming industry has high barriers to entry and closed infrastructures that often limit interoperability.¹⁸ Developers and consumers are effectively locked into specific platforms, reducing their ability to switch or negotiate better terms. While some regions have introduced right-to-repair initiatives, these efforts face strong opposition from manufacturers and are not consistently enforced.¹⁹ As a result, product lifecycles remain relatively short, and reparability remains limited.

Policy Solutions

Addressing the challenges put forth by the gaming industry requires a multi-faceted policy response that targets digital governance, and market structure. The solutions listed below prioritize two core interventions: federal digital consumer protections, and state-level right to repair enforcement. While these interventions may impose compliance costs and require higher levels of regulation, they are necessary to ensure long-term market sustainability and fairness in platform-based ecosystems.

<https://www.nortonrosefulbright.com/en/knowledge/publications/f54afc62/environmental-injustice-how-info-rmal-e-waste-recycling-impacts-human-rights>

¹⁶ Nintendo, "Nintendo Switch 2 User Agreement."

¹⁷ Jez Corden, "Xbox's Automated 'Moderation' Systems Are Pathetic and Need to Be Scrapped — We Pay for This," Yahoo Tech, March 31, 2024,

<https://tech.yahoo.com/gaming/articles/xboxs-automated-moderation-systems-pathetic-150824820.html>.

¹⁸ August Gebhard-Koenigstein, "Game Over for Walled Gardens," Stanford Technology Law Review 28, no. 3 (2025): 320.

¹⁹ Thomas Claburn, "Despite Right to Repair Laws, Some Manufacturers Fall Short," The Register, July 1, 2025, https://www.theregister.com/2025/07/01/right_to_repair_laws_manufacturers/.

State Level

At the state level, governments should take the lead on right-to-repair legislation, building on the momentum from other states, such as California, New York, and Minnesota.^{20 21 22} State legislatures can mandate that manufacturers are required to provide access to repair tools, components, and documentation at a reasonable cost. Enforcement should be carried out by the state's attorney general, who can investigate violations and bring legal action and/or penalties against non-compliant firms.

Federal Level

Primary authority should rest with existing regulatory bodies, particularly the FTC and the DOJ. The FTC should be granted expanded rulemaking authority to regulate and define unfair or deceptive practices in digital marketplaces, including the unjustified revocation of access to purchased digital goods and the use of overly restrictive EULAs. This authority would allow the FTC to establish baseline digital consumer rights, require transparency in licensing agreements, and mandate an accessible appeals process for users whose accounts or devices are restricted. Enforcement mechanisms should include civil penalties, mandatory restitution for impacted consumers, and the ability to bring legal action against repeat offenders. The DOJ Antitrust Division, in coordination with the FTC, should regulate platform markets. These agencies should be empowered to investigate anti-competitive practices such as restrictions on interoperability. Additionally, Congress should amend existing copyright law to expand fair use protections for non-commercial, transformative uses such as modding and fan-made content. Courts could play a critical role in clarifying the boundaries of permissible use and enforce limits on overly broad IP claims.

Constituencies and Obstacles

Implementing these policies will require navigating a landscape of complex stakeholders and challenges. Large technology and gaming companies are likely to resist regulatory changes that limit their control or reduce their revenue streams. Industry groups and IP advocates may argue that such policies undermine innovation and IP protections. Both groups are likely to launch lobbying campaigns for members of Congress, so the aforementioned policies are likely to face a steep legislative battle. Furthermore, legal jurisprudence will present another obstacle, particularly in areas like IP reform.

²⁰ California Department of Consumer Affairs, Bureau of Household Goods and Services. "Industry Advisory: The Right to Repair Act (SB 244, Eggman 2023)." June 15, 2024. https://bhgs.dca.ca.gov/forms_pubs/sb_244_industry_advisory_english.pdf.

²¹ New York State Senate, "Senate Bill S1320 (2023-2024 Legislative Session)," accessed May 4, 2026, <https://www.nysenate.gov/legislation/bills/2023/S1320>.

²² Minnesota Office of the Revisor of Statutes, "Chapter 57 – Session Law 2023, Regular Session," accessed May 4, 2026, <https://www.revisor.mn.gov/laws/2023/0/Session+Law/Chapter/57/>.

Enforcement mechanisms must be carefully designed to ensure compliance without necessitating excessive administrative burdens. Despite these obstacles, there are strong constituencies in favor of change due to the pervasive nature of subscription-based services in the gaming industry. Furthermore, consumer advocacy organizations, third-party developers, environmental groups, and right-to-repair movements have already mobilized around similar issues. Policymakers can build on this momentum by framing reforms as necessary to protect consumers, promote innovation, and ensure competitive yet fair markets.

Conclusion

In conclusion, the transformation of gaming into a platform-based industry reflects broader shifts in the digital realm, where control over digital market access outweighs traditional forms of ownership. Without intervention, these trends will continue to concentrate power in the hands of platform owners, disregard consumer rights, and perpetuate inequalities. The policies outlined in this memo provide a comprehensive framework for addressing these challenges. By strengthening consumer protections, promoting accessible repairability, regulating platforms and markets, and reforming IP, policymakers have the power to create a more balanced and sustainable digital ecosystem. This is a critical juncture for not just gaming, but technological policy as a whole. As platform-based models expand across different industries, the decisions made now will shape the future of digital ownership and participation. Ensuring that technology continues to serve the public rather than a select few private corporations will require not only recognizing the problems but also implementing bold, concrete solutions that ensure innovation along with accountability and equity.